

Data Protection and Records Retention Policy

Organisation	North Pennine Community Credit Union (NPCU)
Version	2.5
Status	CURRENT
Effective date	01 May 2026
Policy owner	Data Protection Officer
Classification	Synthetic training material

Document control note: users must confirm status and effective date before relying on a rule. Superseded documents are retained in this synthetic corpus deliberately so that retrieval pipelines can be tested for version awareness.

1. Data Protection Principles

This section defines how North Pennine Community Credit Union (NPCU) applies data protection principles in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
1.1	Personal data must be processed lawfully, fairly and transparently for defined purposes.
1.2	Only data reasonably required for the purpose should be collected or exposed.
1.3	Accuracy, security and retention are shared operational responsibilities.

Control 1. Personal data must be processed lawfully, fairly and transparently for defined purposes. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. Only data reasonably required for the purpose should be collected or exposed. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. Accuracy, security and retention are shared operational responsibilities. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

2. Access and Least Privilege

This section defines how North Pennine Community Credit Union (NPCU) applies access and least privilege in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
2.1	Access to member data must be role-based and reviewed.
2.2	Administrative access requires stronger controls and logging.
2.3	Data extracts for analysis must be stored in approved locations and deleted when no longer required.

Control 1. Access to member data must be role-based and reviewed. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. Administrative access requires stronger controls and logging. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. Data extracts for analysis must be stored in approved locations and deleted when no longer required. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

3. Records Retention

This section defines how North Pennine Community Credit Union (NPCU) applies records retention in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
3.1	Retention schedules must distinguish membership, lending, complaints, fraud, financial-crime and operational records.
3.2	A legal hold or active dispute can override routine deletion.
3.3	Expired records should be deleted or irreversibly anonymised through controlled processes.

Control 1. Retention schedules must distinguish membership, lending, complaints, fraud, financial-crime and operational records. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. A legal hold or active dispute can override routine deletion. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. Expired records should be deleted or irreversibly anonymised through controlled processes. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

4. Analytics and AI

This section defines how North Pennine Community Credit Union (NPCU) applies analytics and ai in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
4.1	Member data used for analytics or AI must have a defined purpose, appropriate access control and minimisation.
4.2	Synthetic data should be preferred for development, demonstrations and non-production testing where real member data is unnecessary.
4.3	Prompts, retrieved context and model outputs must be considered part of the data flow and assessed for exposure.

Control 1. Member data used for analytics or AI must have a defined purpose, appropriate access control and minimisation. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must

be corrected promptly and considered for wider impact assessment.

Control 2. Synthetic data should be preferred for development, demonstrations and non-production testing where real member data is unnecessary. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. Prompts, retrieved context and model outputs must be considered part of the data flow and assessed for exposure. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

5. Third Parties

This section defines how North Pennine Community Credit Union (NPCU) applies third parties in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
5.1	Processors handling member data require contractual, security and due-diligence controls.
5.2	Data transfers and subprocessors must be understood.
5.3	Supplier incidents affecting confidentiality, integrity or availability must be escalated.

Control 1. Processors handling member data require contractual, security and due-diligence controls. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. Data transfers and subprocessors must be understood. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. Supplier incidents affecting confidentiality, integrity or availability must be escalated. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

6. Management Information

This section defines how North Pennine Community Credit Union (NPCU) applies management information in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
6.1	Privacy MI should include incidents, access reviews, deletion backlogs, rights requests and supplier issues.
6.2	Recurring data-quality problems should be linked to source-system ownership.
6.3	Material changes to AI or analytics processing require review.

Control 1. Privacy MI should include incidents, access reviews, deletion backlogs, rights requests and supplier issues. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. Recurring data-quality problems should be linked to source-system ownership. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 3. Material changes to AI or analytics processing require review. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

End of synthetic document